

these write-ups on individual stocks on www.valueinvestorsclub.com. This web site was created by Joel Greenblatt. About 250 good value investors post two to four of their best ideas every year. Greenblatt awards \$5,000 to the best idea each week. The web site costs him \$260,000 (plus maintenance costs) to operate and seemingly generates no revenue. Greenblatt has described the web site as “American Idol for Hedge Fund Managers.” He uses the web site to find promising money managers, seeds them with some money, and puts them into business. The return for him on this activity alone is millions of dollars a year, and the site has paid for itself many times over. In addition, he uses the ideas on the web site as another feeder for himself. Many Magic Formula stocks have VIC write-ups that can help your research. If an investor just analyzed stocks that are on the Magic Formula *and* have a VIC writeup, they are likely to do quite well.

2. Subscribe to Value Line (or review it at a library). Study their “bottom lists” every week. They list stocks that have lost the most value in the preceding 13 weeks, ones trading at the widest discounts to book value, lowest P/E, highest dividend yield, and so on. It is a wonderful treasure trove to dig in and discover.
3. Look at the 52-week lows on the New York Stock Exchange (NYSE) daily. This is published in many newspapers, including the *Wall Street Journal*, as well as readily available on the Internet. *Barron’s* publishes a weekly list of stocks that have hit a 52-week low during the week. Most stocks will be ones you’ve never heard of. Ignore these. Fixate on familiar names and then dig deeper on any that pique your interest.
4. Subscribe to *Outstanding Investor Digest* (OID; www.oid.com) and *Value Investor Insight* (www.valueinvestorinsight.com). Both carry detailed interviews and write-ups with some of the best value money managers in the United States. These are likely to deliver another idea or two for you to add to your funnel.
5. Subscribe to *Portfolio Reports*. It is published by the same people as OID, and it lists the recent buying activity of some of the best money managers in North America. Alternately, you can get close to